

22 Sep 2026 00:00:00 ET | 12 pages

SAP SE (SAPG.DE)

Key messages into quiet period

CITI'S TAKE

We caught up with IR pre-quiet period. Key messages from results and mgmt's recent conference presentations are retained. There is confidence in steady evolution of revenue growth, while there are puts & takes around 4Q CCB build (macro vs. better pipeline coverage). On operating profit, the increase in share price in Q3 presents upside to stock comp, still steps put in place to manage costs (employee as well as AI tokens) provides comfort around the 2026 guidance range. For 2027, revenue growth acceleration view remains, and is underpinned by demand for AI and enabled processes which is also supporting S4 migration considerations. Lastly, the targeted AI product rollout is seen on track. We are modestly ahead of consensus' 3Q cloud rev. and CCB growth estimate – and feel these inputs support our forecast and SAP's resilience credentials. Maintain Buy and raise TP to €215.

Puts & takes for 3Q — Macro remains uncertain but there is confidence in current momentum. The general considerations for the quarter are:

- **Cloud rev growth steady:** should be aided by 1H26 bookings, minor tailwind from acquisitions, and steady (to easier) comp – Citi 24% Y/Y in CC (cons 23.4%).
- **Modest deceleration in CCB growth:** despite macro. Better pipe post SAPPHIRE, stronger build from 1H26, and easier comp – Citi 25%+ / cons 24.5%.
- **Operating margin up:** despite share price move. 3Q25 had €200m non-recurring expenses, and on sequential basis cost plan put in place should restrict opex.

Comfort with 2026 P&L outlook — Revenue growth is less impacted by macro (supported by current bookings), and operating profit is more dependent on internal execution. Citi / cons at revenue growth and margin guidance mid-point.

2027 rev. growth acceleration view remains, would need strong close for 4Q CCB — 4Q CCB growth is key for sentiment into 2027, and the group will need healthy pipeline conversion in its largest quarter to achieve only slight Y/Y deceleration (we read as >23% growth). Consensus for 2027 is at stable cloud & software rev. growth, and a continued resilience in CCB could support confidence in acceleration.

Change in estimates & TP — We are keeping estimates broadly unchanged. Raising DCF-based TP to €215, reflecting peer group re-rating.

SAP SE (EUR)

Year to 31 Dec	2024A	2025A	2026E	2027E	2028E
Sales (€M)	34,176.0	36,799.4	40,250.4	45,048.0	50,391.5
Net Income (€M)	5,286.1	7,164.7	8,207.4	9,655.2	11,211.7
Diluted EPS (€)	4.49	6.10	7.07	8.45	9.99
Diluted EPS (Old) (€)	4.49	6.10	7.09	8.43	9.95
PE (x)	40.7	30.0	25.9	21.6	18.3
EV/EBITDA (x)	24.0	19.2	17.1	14.7	12.6
DPS (€)	2.35	2.50	3.00	3.60	4.00
Net Div Yield (%)	1.3	1.4	1.6	2.0	2.2

Buy

Price (21 Sep 26 17:30)	€182.86
Target price	€215.00↑ from €205.00
Expected share price return	17.6%
Expected dividend yield	1.6%
Expected total return	19.2%
Market Cap	€224,644M US\$257,981M

Price Performance (RIC: SAPG.DE, BB: SAP GR)



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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

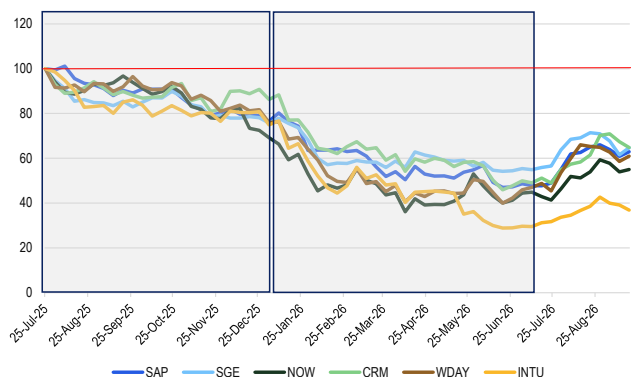
Figure 1. SAP: Citi estimates vs. Consensus

Dec FY, EUR m	3Q26E			2026E			2027E		
	CITI	CONS	Δ%	CITI	CONS	Δ%	CITI	CONS	Δ%
Headline metrics									
Group revenue	10158	10107	1%	40250	40277	0%	45048	45030	0%
Adjusted EBIT	2942	2939	0%	11735	11786	0%	13641	13602	0%
Adjusted EPS (EUR)	1.81	1.78	2%	7.07	7.08	0%	8.45	8.35	1%
Other KPIs									
CCB growth (Y/Y in CC%)	25.2%	24.5%		23.4%	23.5%				
Cloud revenue - Y/Y in CC%	24.0%	23.4%		24.3%	24.2%		21.8%	22.0%	
Adjusted EBIT margin (%)	29.0%	29.1%		29.2%	29.3%		30.3%	30.2%	
FCF (Continuing operations)	1686	1636	3%	10005	9999	0%	11442	11193	2%

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Source: Citi Research Estimates, Visible Alpha

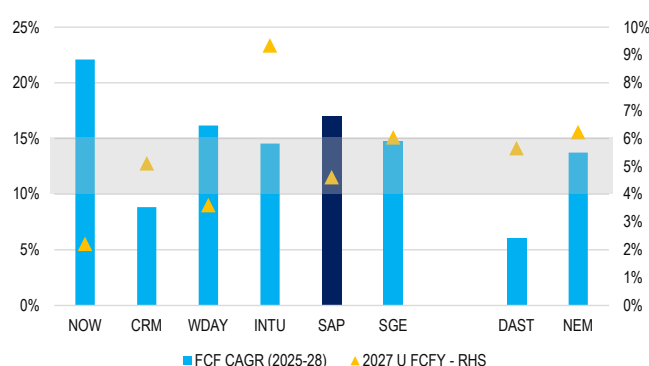
Figure 2. Global application software stocks forward PE evolution (indexed to 100)



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Source: Citi Research, FactSet

Figure 3. SAP and peers' comparison of unlevered FCFY vs. FCF growth view



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Source: Citi Research Estimates, Visible Alpha

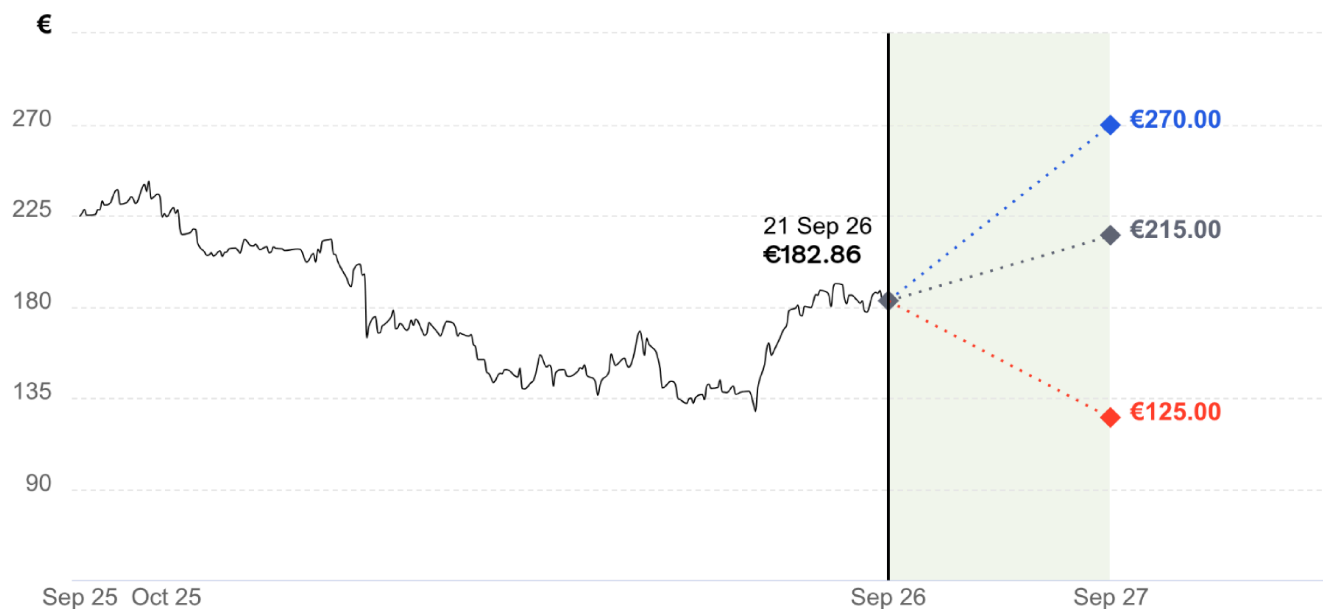
* Note: in Fig 3 VA consensus for NOW, CRM, WDAY, and INTU

Bull/Bear: SAP SE (SAPG.DE)

€ 270.00
▲ 48% Upside

€ 215.00
▲ 18% Upside

€ 125.00
▼ 32% Downside



Spread 79pp
Current Price and expected returns (upside/downside) as of 21 Sep 2026

BULL Assumptions

- Macro & AI: Supportive macro, and growth acceleration through AI monetisation tailwind.
- Software revenue growth accelerating to low to mid teens %, operating margin reaching ~32% in 2028.
- Stock re-rating to 2028 unlevered FCFY ~4%.

BASE Assumptions

- Macro & AI: Resilient macro, puts and takes from AI with impact net-neutral
- ~12-13% software revenue growth in 2025-28 period and operating margin ~31%.
- Base case EPS aligned with our underlying model.

BEAR Assumptions

- Macro & AI: Uncertain macro, pricing and competitive pressure on account of AI impact
- Software revenue growth deceleration to sub 10% in 2027-28
- Stock de-rating to ~8% 2028 unlevered FCFY - implying low single digit % growth beyond mid-term

SAP SE

Company description

SAP is one of the world's largest providers of enterprise application software. Founded in 1972, it is headquartered in Walldorf, Germany. It reported total revenue of ~€37bn in 2025.

Investment strategy

Our Buy recommendation on SAP is predicated upon three key premises: (1) disciplined execution on cloud transition and portfolio innovation; (2) confidence in the medium-term growth and margin acceleration view; and (3) relative investment appeal with defensive credentials and capital allocation optionality.

Valuation

We value SAP using DCF. Our target price of EUR 215 incorporates CY25-30E organic revenue CAGR of ~10-11% and reported operating margin stabilising at ~31-32% long-term. Our WACC assumption of 8.9% is based on a risk-free rate of 4.1% and equity risk premium of 3.3%. We use a terminal growth rate of 3%.

Risks

We highlight the following risks to our investment thesis and target price on SAP:

- **Macroeconomic:** Impact of increasing geopolitical and macro risks on demand for SAP's solutions
- **Product:** mainly in terms of integration, pivot towards the cloud and Business AI use cases
- **Execution:** towards medium-term objectives, and innovation
- **Competition:** across traditional ERP, cloud-centric line of business (LOB) offerings, and AI-native competitors
- **FX:** Most relevant exposure is EUR vs. USD

Positive or adverse developments in these risk factors could cause the share price to remain above or fall below our target price.

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Appendix A-1

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Ratings and Target Price History Fundamental Research

Analyst: Balajee Tirupati, CFA



	Date	Rating	Target Price	Closing Price
1	13-Dec-23 00:00:00	1	*170.00	146.50
2	25-Jan-24 03:23:44	1	*190.00	160.76
3	16-Apr-24 01:15:29	1	*200.00	170.38
4	17-Jul-24 00:00:00	1	*220.00	183.26
5	23-Jul-24 00:00:32	1	*225.00	196.74

*Indicates Change

	Date	Rating	Target Price	Closing Price
6	26-Sep-24 01:23:29	1	*240.00	204.50
7	22-Oct-24 01:31:03	1	*260.00	215.25
8	09-Dec-24 00:00:51	1	*300.00	240.50
9	17-Apr-25 00:00:00	1	*280.00	226.00
10	06-Jul-25 14:51:25	1	*295.00	255.50

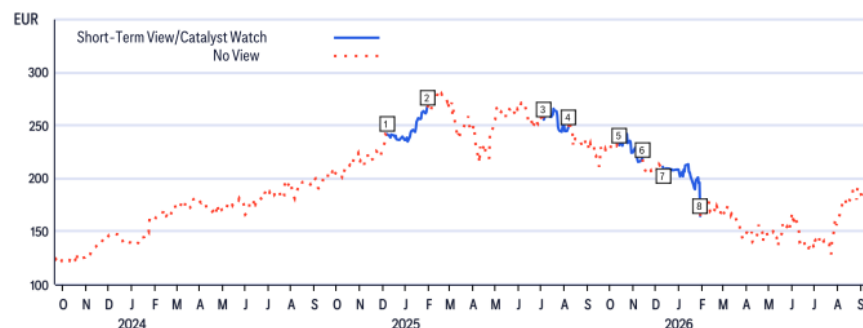
	Date	Rating	Target Price	Closing Price
11	11-Dec-25 00:00:00	1	*280.00	209.30
12	09-Mar-26 01:00:00	1	*225.00	171.88
13	09-Jul-26 00:00:00	1	*205.00	137.74

Rating/target price changes above reflect Eastern Time

SAP SE (SAPG.DE)

Short-Term View/Catalyst Watch Research

Analyst: Balajee Tirupati, CFA



	Date	Action	Expected Direction	Duration	Closing Price
1	08-Dec-24 19:00:51	Add CW	Upside	90 Days	242.00
2	29-Jan-25 19:00:00	Remove CW	Upside	90 Days	267.20
3	06-Jul-25 10:51:25	Add CW	Upside	30 Days	255.50

	Date	Action	Expected Direction	Duration	Closing Price
4	06-Aug-25 07:47:06	Remove CW	Upside	30 Days	248.85
5	13-Oct-25 20:00:00	Add STV	Upside	30 Days	231.40
6	13-Nov-25 06:59:55	Remove STV	Upside	30 Days	218.10

	Date	Action	Expected Direction	Duration	Closing Price
7	10-Dec-25 19:00:00	Add CW	Upside	90 Days	210.95
8	29-Jan-26 07:39:58	Remove CW	Upside	90 Days	164.62

CW - Catalyst Watch, STV - Short-Term View

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Data current as of 01 Jul 2026	12 Month Rating			Catalyst Watch		
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